Strategic Planning

What Game Are We Playing and How Are We Going to Win?



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- **Introduction**
  - **Anatomy of a Strategic Plan**
    - **Common Issues with Strategic Planning**
      - **Final Thoughts**

Agenda

What is Strategy?

First, let’s consider what Strategy IS NOT!

“Operational effectiveness is not strategy.”



- Michael E. Porter

However…

Operational Excellence (in terms of SQDC*) enables superior execution of the necessary operational imperatives in which to implement strategy.

“You must earn the right to grow.”

- Danaher Strategic Policy Statement

* Safety, Quality, Delivery, Cost

Typical Maturity Timeline - With Aggressive Adoption of Lean



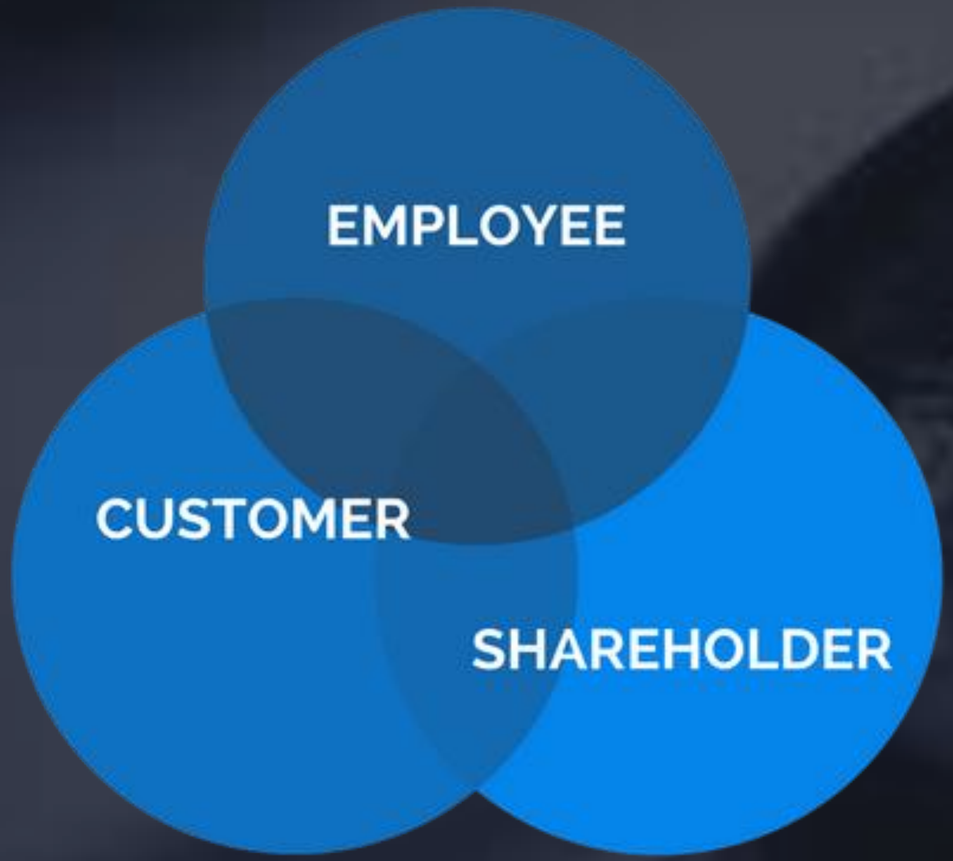
Are you positioned for GROWTH?

Strategy Defined

Strategy is where we roadmap sustainable competitive advantage for profitable, long-term growth, and we must answer the question…

“What game are we playing and how are we going to win?”

But Who Defines Winning?



- ✓ Winning is defined by your key stakeholders
- ✓ Cannot be a Zero-Sum game
- ✓ All stakeholders* must win!

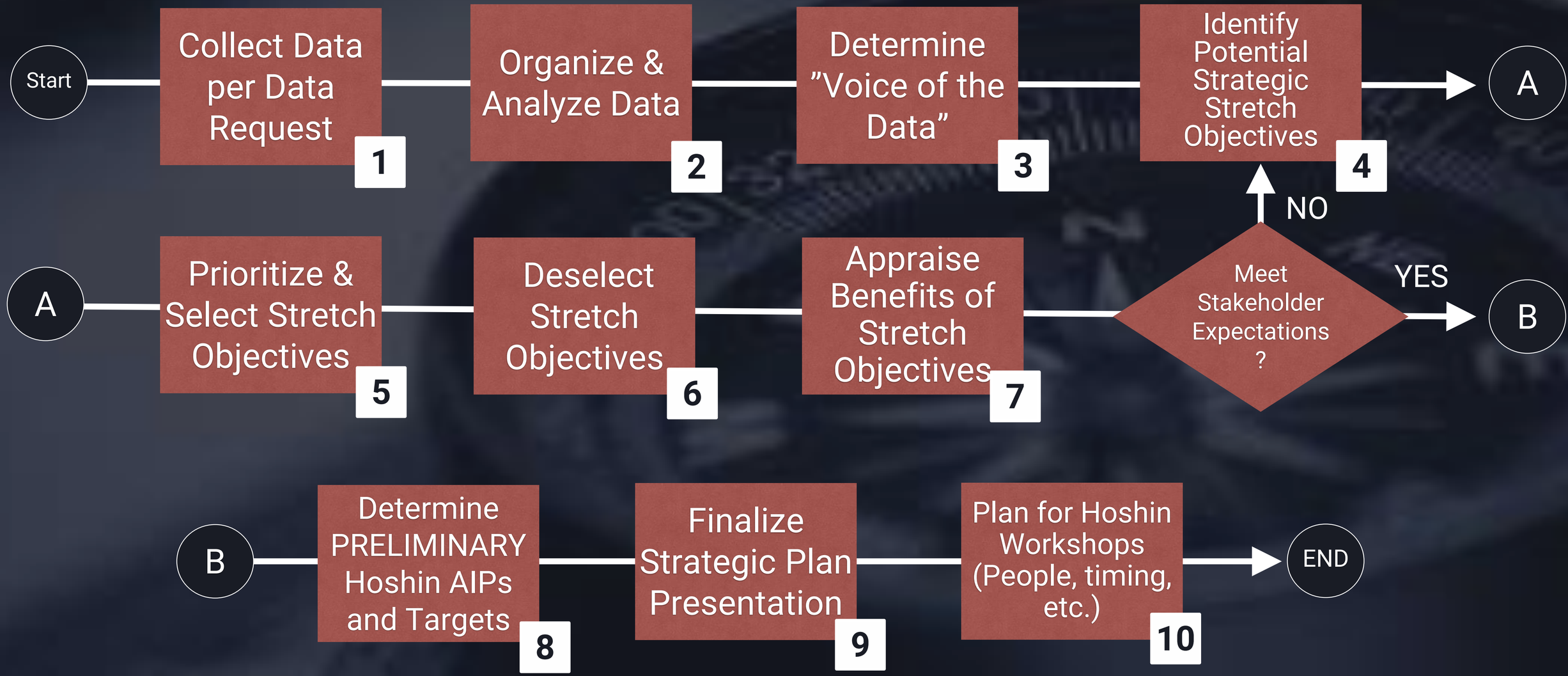
* Other Stakeholders include Community, Society, Environment, Suppliers, Competition

Strategic Plan Relationships





Strategic Planning Roadmap



The Data Request

Data collection systems required to collect strategic data on an ongoing basis.

Strategic Planning Information Request

Item	Ref	Description/Comments	Business Unit					
			KASA Corp	NA USA	NA Canada	EMEA	LaMEX	APAC
Mission Statement	(a)	Current State: What do we do? Our purpose for being?	●					
Vision Statement	(b)	Future State: Where are we going?	●					
Major Changes from Last Year	(c)	Provide significant differences in business conditions, competition, technology, markets, etc.	●	●	●	●	●	●
3-Year Historical Sales & Profitability	(d)	Total, By Product Category, Channel, Country (if applicable)	●	●	●	●	●	●
Operations & Supply Chain Analysis	(e)	Provide key operational and supply chain data per template (e)	●	●	●	●	●	●
SKU Analysis		Provide the # of active SKUs by product line as well as the # of SKUs that make up 80% of your total revenue for that category	●	●	●	●	●	●
Technology Trends	(f)	Tech Trends that might impact the future of the business		●	●	●	●	●
Market Size, Market Share & Market Growth	(g)	By Product, By Geography - Include Competitor Data if possible		●	●	●	●	●
Customer Segmentation		By Product & Geography		●	●	●	●	●
Key Competitors and Market Share		May need to segment by product and/or geography		●	●	●	●	●
Competitor Analysis	(h)	How do you compare to competition across product segments?		●	●	●	●	●
SWOT - STRENGTHS	(i)	List **STRENGTHS** that are **INTERNAL** to your business	●	●	●	●	●	●
SWOT - WEAKNESSES	(j)	List **WEAKNESSES** that are **INTERNAL** to your business	●	●	●	●	●	●
SWOT - OPPORTUNITIES	(k)	List **OPPORTUNITIES** that are **EXTERNAL** to your business	●	●	●	●	●	●
SWOT - THREATS	(l)	List **THREATS** that are **EXTERNAL** to your business	●	●	●	●	●	●

Strategic Planning is NOT an Event
- It’s a Continuous Process

Strategy Deployment Process

Strategic Scan Considerations

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SD Performance +
Market
Customer
Competition
Technology
Regulations
Environment
Supply Chain
Economy

Confirm/Adjust Strategy

Quarterly Checkpoint

Develop Strategy

Develop Breakthrough Objectives

Develop AIPs, Targets, Resources

Catchball

Deploy AIPs

Implement AIPs

Counter-measures

Monthly Review

Annual Review

- Introduction
- Anatomy of a Strategic Plan
- Common Issues with Strategic Planning
- Final Thoughts

Agenda

Major Strategic Plan Components

1. Mission Statement
2. Vision Statement
3. Major Changes from Last Year
4. Voice of the Customer
5. SWOT Analysis
6. 3 - Year Sales History
7. Strategic Breakthrough Objectives

Supporting Data and Analysis

8 Operations & Supply Chain Analysis

9 Market Analysis

10 Competitive Analysis

14 Human Capital

11 Technological Trends

12 SKU Analysis

13 Risk Analysis

15 Financial Summary

1 Mission Statement

Defined: Current State - What do we do? Our purpose for being?

Coca-Cola: *“To craft the brands and choice of drinks that people love, to refresh them in body & spirit.”*

Starbucks: *“To inspire and nurture the human spirit – one person, one cup, and one neighborhood at a time.”*

2 Vision Statement

Defined: Future State - Where are we going?

Amazon: *“Our vision is to be earth's most customer-centric company; to build a place where people can come to find and discover anything they might want to buy online.”*

Tesla: *“To create the most compelling car company of the 21st century by driving the world’s transition to electric vehicles.”*

3 Major Changes from Last Year

Defined: Provide significant differences in business conditions, competition, technology, markets, etc.

Kaizen improvements in our New Product Development process (time to market from 48 months to 12 months) will provide a significant competitive advantage with new product entries.

New European environmental regulations will require that we redesign our packaging to be eco-friendly, consistent with the new regulations.

4 Voice of the Customer

Quality	Product or Service Features, Attributes, Dimensions, Characteristics Relating to the Function of the Product or Service, Reliability, Availability, Effectiveness, Recovery, Customer Returns, Defects, Rework or Scrap
Cost	Process Cost Efficiency, Prices to Consumer (Initial Plus Life Cycle), Repair Costs, Purchase Price, Financing Terms, Depreciation, Residual Value, Raw Material, Energy Efficiency
Speed	Lead Times, Delivery Times, Turnaround Times, Setup Times, Delays, Up Time, Equipment Availability, Rolling Speed, Flexibility
Service and Safety	Environment, Health and Safety Policy, Service Requirements, After-Purchase Reliability, Parts Availability, Service, Warranties, Maintainability, Customer-Required Maintenance, Product Liability, Product/Service Safety, Recordable Injuries, Lost Time, Environmental Incidents
Corporate Responsibility	Ethical Business Conduct, Business Risk Management, Environment, Health and Safety Policy, Code of Conduct

The challenge is to understand how your customers, stakeholders, process owner, etc. define and prioritize the various needs and expectations they have of your products and services.

“Do you REALLY know the expectations of your customer?”

Jake Brake®

Jake Brake’s Performance

100% On-time Delivery to Request Date

ZERO Defects

ZERO Field Warranty

HINO

HINO’s Expectations

All of the above plus:

Consistent label placement

Timely responses

Dunnage removal

We never asked!

Hino’s Supplier Rating of JAKE Brake:
#106 of 110 Engine Suppliers!

5 SWOT Analysis

Internal to the Business:	**S** **Strengths**	**W** **Weaknesses**
External to the Business:	**O** **Opportunities**	**T** **Threats**

5 SWOT Analysis - Examples

S

Strengths

INTERNAL TO THE BUSINESS

Our salesforce is highly experienced and have ensconced customer relationships.

W

Weaknesses

INTERNAL TO THE BUSINESS

Our New Product Development “time to market” lags competition by 75%.

5 SWOT Analysis - Examples

O

Opportunities

EXTERNAL TO THE BUSINESS

Espresso making is intimidating for the home user, and simple, less intimidating, innovative, proprietary in-home espresso products could revolutionize the home-based espresso market.

T

Threats

EXTERNAL TO THE BUSINESS

The conversion from fossil fueled vehicles to electric automobiles will challenge our traditional gas-powered vehicle product platform.

6 3 - Year Sales History

3 Year Historic Sales Analysis

Category	Product	Sales History (000's) 2020	2021	2022	YOY Growth	2022 Market Share	Share Growth	% of Total Sales	% Gross Margin
Strategic	A.1	$ 20,000	$ 19,000	$ 25,000	32%	25%	3%	26%	52%
	B.2	$ 15,000	$ 17,500	$ 20,000	14%	60%	5%	21%	48%
	B.4	$ 18,000	$ 19,750	$ 23,500	19%	16%	4%	24%	33%
	Sub Total	**$ 53,000**	**$ 56,250**	**$ 68,500**	**22%**	**24%**	**4%**	**71%**	**44%**
Opportunistic	A.2	$ 7,500	$ 8,250	$ 9,000	9%	12%	6%	9%	25%
	C.3	$ 3,250	$ 2,500	$ 3,000	20%	18%	10%	3%	23%
	B.5	$ 1,500	$ 2,500	$ 2,750	10%	24%	2%	3%	35%
	Sub Total	**$ 12,250**	**$ 13,250**	**$ 14,750**	**11%**	**14%**	**8%**	**15%**	**26%**
Sustain	B.3	$ 5,000	$ 6,500	$ 4,500	-31%	75%	-5%	5%	45%
	C.4	$ 3,500	$ 3,750	$ 3,600	-4%	52%	-2%	4%	39%
	D.6	$ 4,250	$ 4,000	$ 4,750	19%	45%	4%	5%	51%
	Sub Total	**$ 12,750**	**$ 14,250**	**$ 12,850**	**-10%**	**55%**	**-2%**	**13%**	**46%**
	Total	**$ 78,000**	**$ 83,750**	**$ 96,100**	**15%**	**24%**	**3%**	**100%**	**42%**

Strategic: *Products that will drive sustainable, profitable share-growth*

Opportunistic: *Early stage products or markets*

Sustain: *Legacy products and/or markets*

6 3 - Year Sales History

Key Questions to Consider:

- ✓ **Where are share growth opportunities?**
- ✓ **What is the likelihood of Opportunistic Products revenue projection?**
- ✓ **Where are growth opportunities to take market share?**
- ✓ **Do you understand why key product categories have declined?**
- ✓ **Did price increases distort your true growth picture?**

7 Strategic Breakthrough Objectives & Likely Strategies

Relationship of Strategic Planning to Strategy Deployment

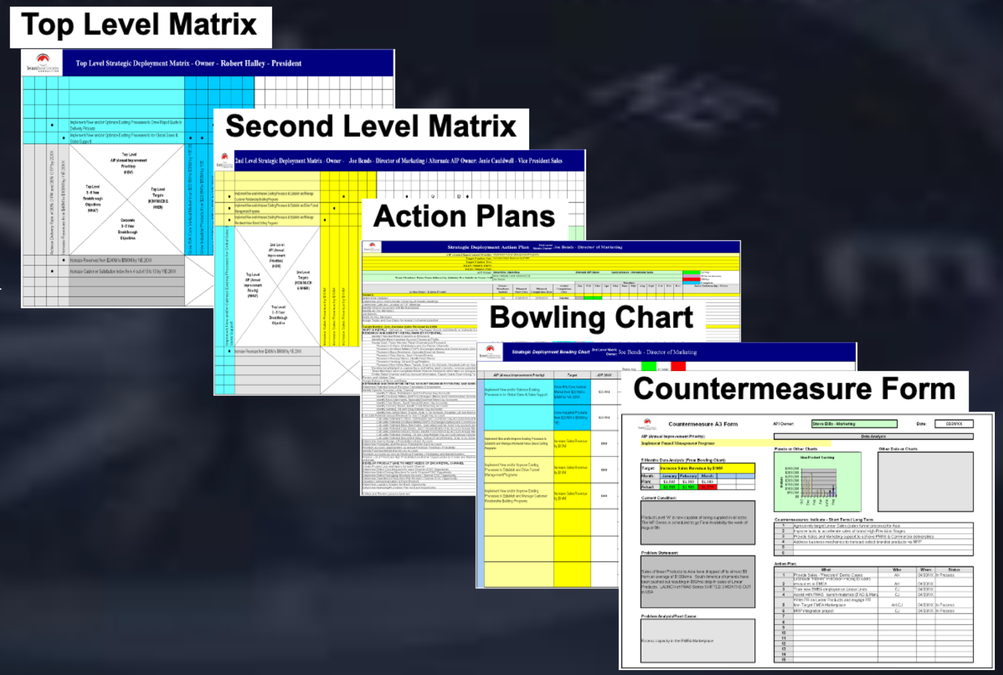
Strategy Deployment is a Means to Make Your Strategic Plan a Reality

STRATEGIC PLANNING



STRATEGIC OBJECTIVES & LIKELY STRATEGIES

STRATEGY DEPLOYMENT



Do not confuse Strategic Planning with Strategy Deployment!

7 Strategic Breakthrough Objectives & Likely Strategies

CAUTION

To Be Confirmed & Refined by the Strategic Deployment Team

Strategic Breakthrough Objective:

Increase Market Share from 20% to 55% by 12/31/XXXX

Pro Forma Strategic Initiatives

	Market Development	Process Improvement	People Development	Product Development
SD AIP	Develop Market for High Speed Controllers	Redesign New Product Development Process to Meet Customer Needs	Develop Monolithic Engineering Development Program	Develop High Speed Controller Design Process Product Offerings
SD TTI	$40 million revenue with 45% Gross Margin by 12/31/XX	Reduce N.P.D. Lead-Time from 48 Months to 6 Months by 12/31/XX	Improve Monolithic Engineering Density from 15% to 50% by 12/31/XX	Improve Vitality Index from 30% to 55% by 12/31/XX

SD TTI = Targets To Improve SD AIP = Annual Improvement Priorities

8 Operations & Supply Chain Analysis

Item	Business Unit						Comments
	Corp	NA USA	NA Canada	EMEA	LaMEX	APAC	
Product Quality - Internal	🟢	🔴	🔴	🟢	🟢	🔴	
Product Quality - Warranty	❍	🔴	❍	❍	🔴	🔴	
Delivery Performance	🔴	🟢	❍	🔴	🟢	🟢	
Lead Time vs. Competition	❍	❍	🔴	❍	❍	❍	
Product Cost	🔴	🔴	❍	🔴	🔴	🔴	
Supplier Reliability	❍	❍	❍	❍	❍	❍	
Operational Capacity	🔴	❍	❍	🟢	❍	❍	
Lean Capability	🟢	❍	🟢	🔴	❍	❍	
Labor Market	❍	🔴	🟢	❍	🔴	🔴	
Innovation Strength	❍	❍	❍	❍	❍	❍	
Product Management Capability	❍	🔴	❍	❍	🟢	🔴	

Key - Rating: 🟢 = Strong, ❍ = Neutral, 🔴 = Weak

8 Operations & Supply Chain Analysis

Key Questions to Consider:

- ✓ **In terms of being a QUALITY supplier, how are you viewed by your customers?**
- ✓ **Do you have the future capacity to support your future growth plans?**
- ✓ **Can your supply base keep pace with your growth?**
- ✓ **Can your suppliers meet your NPD lead-times?**
- ✓ **Will geographic expansion require you to reconsider your global footprint?**

9 Market Analysis

Region/Geography: United Kingdom			
Market:	Mixers	Large Kitchen	Food Processing
Market Size:	$125 million	$400 million	$50 million
Brand Sales/Share:	$75 million/60%	$100 million/25%	$10 million/20%
Brand Growth Rate:	5%	7%	12%
Key Customers:	Big Box	Home Improvement	Big Box
Key Success Factors:	Price, Ease of Use, Portability	Warranty, Quality Reputation, Energy Efficiency	Price, Ease of use
Key Products:	Stand Mixer	Dishwashers (growth opportunity)	Slow-cooker
Trends:	Innovative Accessories	Energy Efficiency, Noise Reduction	Multi-tasking capabilities
Brand Strengths:	Legacy name recognition	Legacy name recognition	None
Brand Weakness:	Innovative accessories	Price from Asian competitors	No brand identity
Key Competitors:	Asian copycats	LSG, GE	Ninja
Winning Strategies:	Develop innovative accessories, Value Analysis to reduce product cost	Innovative advertising, Value Analysis to reduce cost	Develop VOC to ID competitive weaknesses, develop & market new capabilities

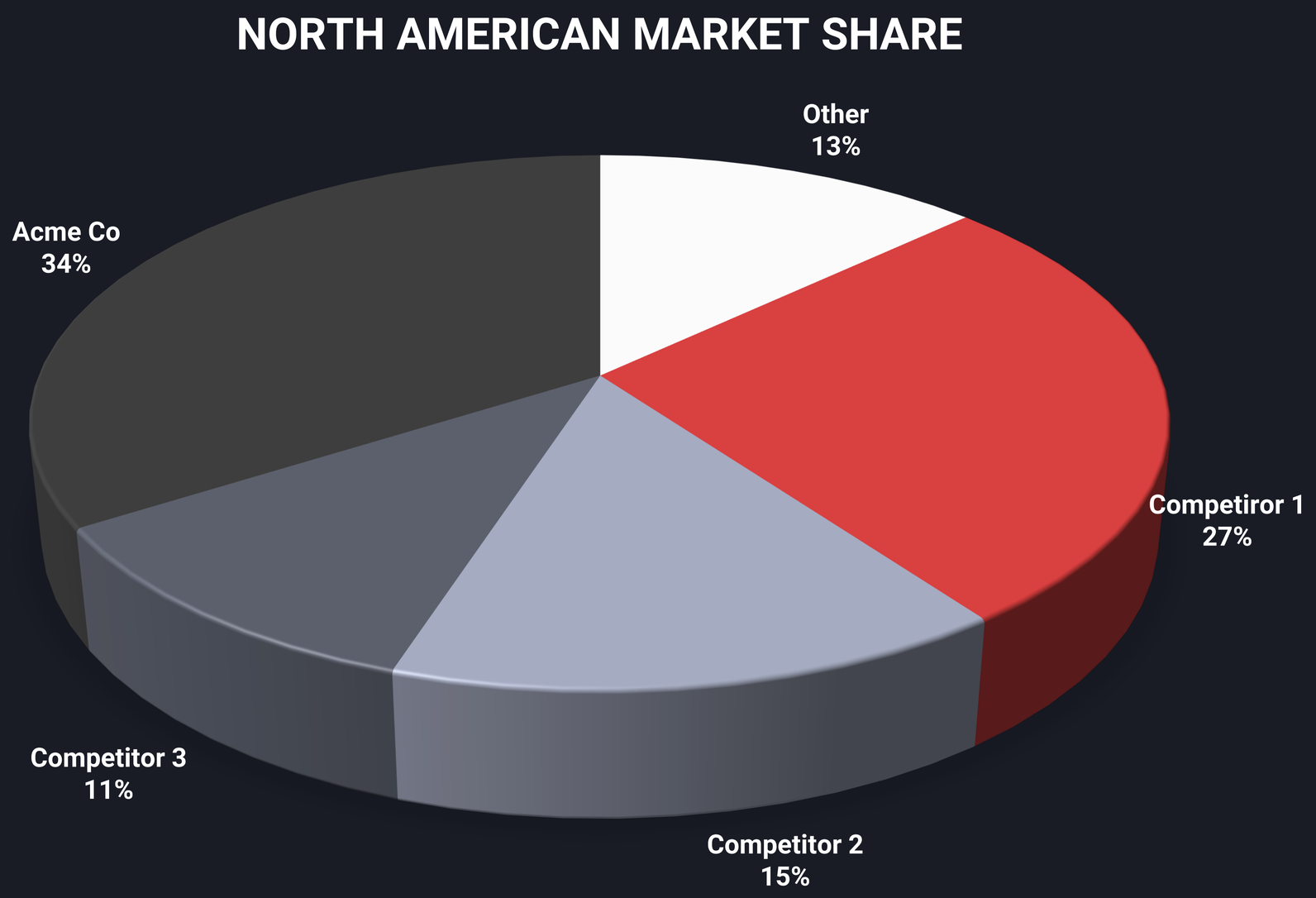
Focus on *SERVED* Market

Example:

Global tire market includes tires for heavy duty trucks, motorcycles, autos, recreation vehicles, construction equipment, etc.

Not meaningful if you only serve the specialty motorcycle industry

9 Market Analysis



9 Market Analysis

Key Questions to Consider:

- ✓ **Is your focus on your served market?**
- ✓ **Are there any markets that you should exit?**
- ✓ **What geographical/regional changes will affect your business? (Politics/laws/culture/etc.)**
- ✓ **Will new competition enter your markets?**
- ✓ **Is the market growing or declining?**
- ✓ **Is your share position expected to drastically change?**

10 Competitive Analysis

Item	Your Co.	Competitor			Comments
		A	B	C	
Channel Strength	🟢	⭕	🔴	🟢	Channel the major strategic issue
Product Quality	🟢	⭕	🔴	🟢	Quality not a major factor with top competitors
Price Comparison	⭕	🟢	⭕	⭕	China government subsidizing competition a major concern
Customer Service & Support	🟢	🔴	⭕	🟢	Need to reengineer customer service and technical support
Brand Awareness	🔴	⭕	🟢	🔴	Drive “Made in America” brand
Delivery Performance	⭕	🔴	🟢	⭕	Work with Supply Chain to improve
Product Breadth	⭕	⭕	⭕	⭕	No major difference with competition - need a breakthrough
Technological Strength	⭕	🟢	🔴	⭕	Our products lag competitor IOT capabilities
Key - Comparative Ranking: 🟢 = Strong, ⭕ = Neutral, 🔴 = Weak					

10 Competitive Analysis

Key Questions to Consider:

- ✓ **Can you exploit the weaknesses of your competition?**
- ✓ **Can you take share by superior Quality & Delivery?**
- ✓ **Can you drive price via value-selling efforts?**
- ✓ **Does the market understand your competitive strengths?**
- ✓ **Do they care?**

11 Technological Trends

Defined: Tech Trends that might impact the future of the business.

Competition has developed a lithium battery WIDGET that has wide market appeal. This will require a transition to convert our product line from AC power to a battery-operated platform.

Driver navigation capabilities are being developed in smartphones which will make our stand-alone navigation equipment obsolete.

Cordless table-top appliances are replacing traditional AC-powered products.

11 Technological Trends

Key Questions to Consider:

- ✓ **Can your product/company be displaced via disruptive technology?**
- ✓ **Do you have a way to drive effective technology innovations?**
- ✓ **Are you driving an adequate % of new products in your annual sales?**
- ✓ **Do you have the technical talent (Engineering and Commercial) to keep up with the latest technical needs of the market?**

12 SKU Analysis

SKU Analysis - Major Product Lines					
	Revenue		SKUs		
Product Line	$ (000's)	%	#	%	Revenue/SKU
A	$ 20,000	82%	3,565	59%	$ 5,610
	$ 4,250	18%	2,500	41%	$ 1,700
	$ 24,250	**100%**	**6,065**	**100%**	**$ 3,998**
B	$ 34,000	83%	1,765	65%	$ 19,263
	$ 7,000	17%	950	35%	$ 7,368
	$ 41,000	**100%**	**2,715**	**100%**	**$ 15,101**
C	$ 72,000	82%	50,000	78%	$ 1,440
	$ 15,650	18%	14,500	22%	$ 1,079
	$ 87,650	**100%**	**64,500**	**100%**	**$ 1,359**

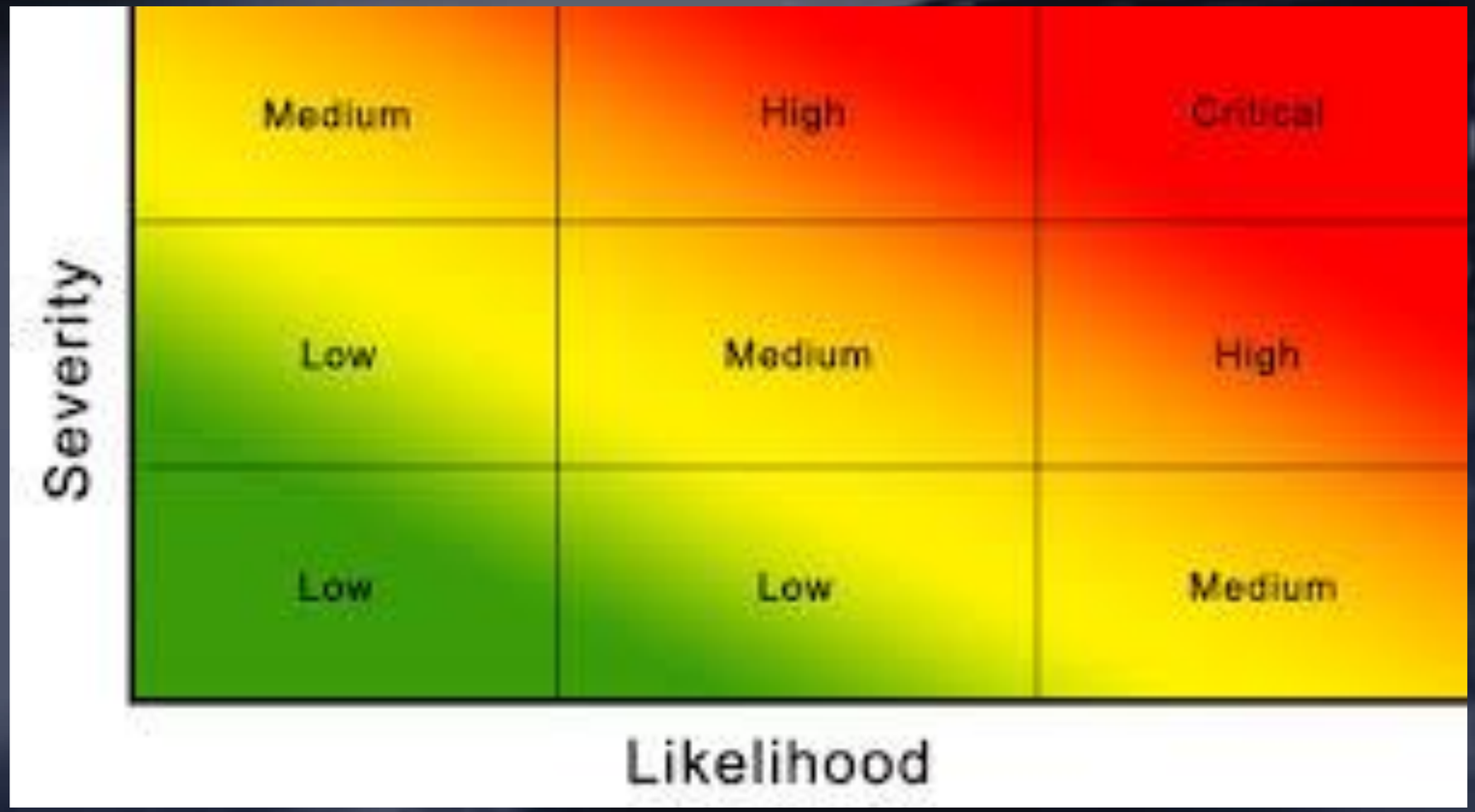
Provide the # of active SKUs by product line as well as the # of SKUs that make up 80% of your total revenue for that category

12 SKU Analysis

Key Questions to Consider:

- ✓ **Can you pair back redundant SKUs from your product line?**
- ✓ **In doing so, how will this be perceived by your customer base?**
- ✓ **Are their proper screens in your Product Management process to eliminate SKU overload in your new product pipeline?**
- ✓ **Is your salesforce trained and disciplined to sell existing technology?**

13 Risk Analysis



Key

No Action

Monitor

Mitigate

13 Risk Analysis

Key Questions to Consider:

- ✓ **Do you have a meaningful risk-assessment process?**
- ✓ **Do you use FMEA? (Failure Mode Effect Analysis)**
- ✓ **Do you consider micro AND macro risks?**
- ✓ **Do you have processes on the shelf to mitigate your various risks?**

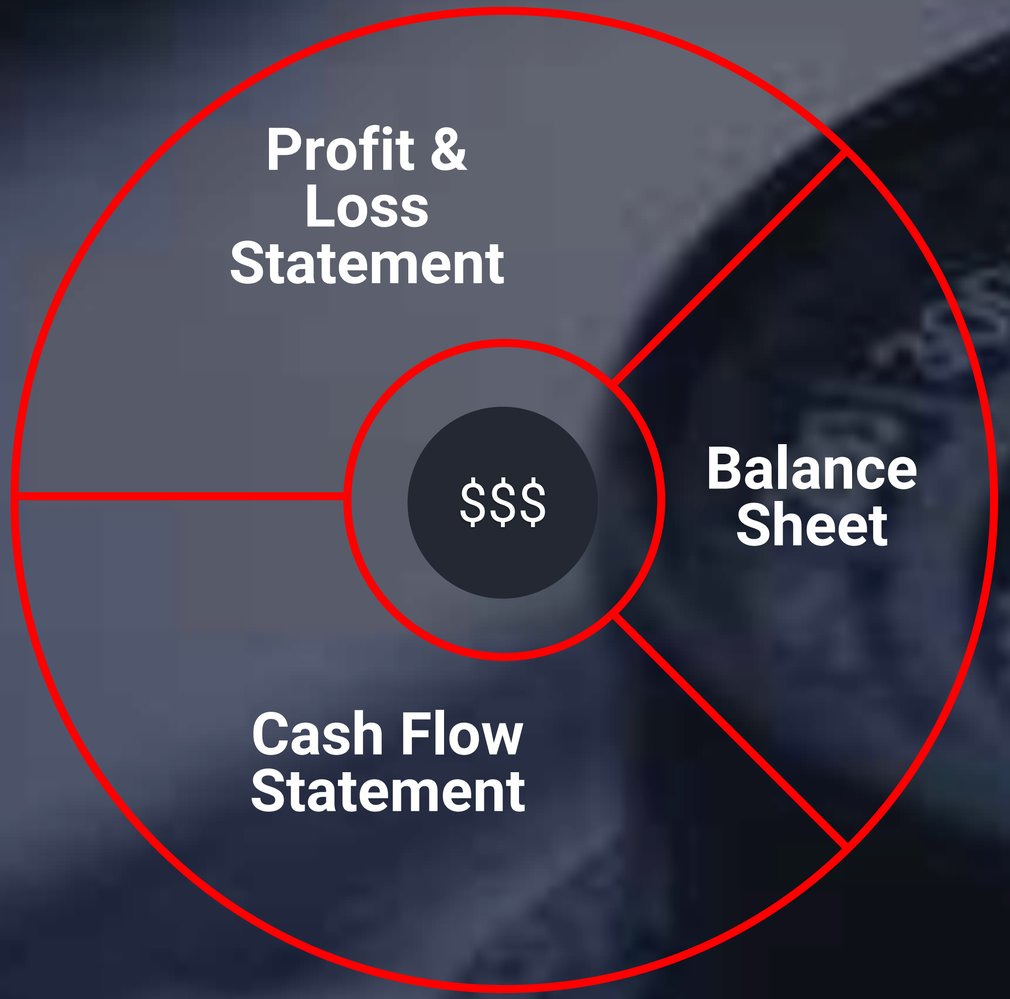
14 Human Capital

Things to Consider:

- What training does your current workforce need to meet your strategic plan?
- What talent gaps do you have to meet your plan?
  - Technical ?
  - Commercial?
  - Financial?
  - Managerial ?
  - Leadership?
- Do you have a robust talent acquisition process?



15 Financial Summary



Things to Consider:

- Not a budgeting exercise
- Provide 3 Scenarios:
  - Upside-Likely-Downside
- Key Metrics to Highlight:
  - GM% YOY
  - Operating Cash Flow
  - CAPEX Spending
  - Inventory Turns Projection
  - FCF as % of NI

- Introduction
  - Anatomy of a Strategic Plan
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- **Common Issues and Guidelines**

✓ Not telling a story - message is too complex

✓ “How do we win” is not clearly identified

✓ Lack of team buy-in

✓ Lack of prioritization and focus

✓ Too much text, not enough visuals

✓ Improper identification of “Strategic Complexion” (SQDC focus? Growth Focus? Hybrid?)



- Introduction
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- **Final Thought**

Tell your story…

The quality and clarity of a Strategic Plan is inversely related to the number of pages in the presentation!





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